

Insurance Company ? Risk Management

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Application and Definitions

1.1

Unless otherwise stated, this Part applies to;

1. (1) a non-directive insurer , other than a non-directive friendly society ; and
2. (2) subject to 1.2, a Swiss general insurer.

1.2

This Part only applies to a Swiss general insurer in respect of the activities of the firm carried on from a branch in the UK.

1.3

This Part applies to a firm in relation to the whole of its business, except where a particular provision provides for a narrower scope.

1.4

Where a firm carries on both long-term insurance business and general insurance business , this Part applies separately to each type of business.

1.5

In this Part, the following definitions shall apply:

investment risk

means the risk that the assets held by a firm:

1. (1) (where they are admissible assets held by the firm to cover its technical provisions) might not be:
 1. (a) of a value at least equal to the amount of those technical provisions as required by Insurance Company ? Technical Provisions 4.1; or
 2. (b) of appropriate safety, yield and marketability as required by Insurance Company ? Technical Provisions 6.2(1)); or
 3. (c) of an appropriate currency match as required by 3.2;
2. (2) (where they are held to cover index-linked liabilities) might not be appropriate cover for those liabilities as required by 4.2; and
3. (3) (where they are held to cover property-linked liabilities) might not be appropriately selected in accordance with the requirements of INSPRU 1.5.36 R of the FCA Handbook and appropriate cover for those liabilities as required by

4.2.

linked assets

means assets held to cover ___linked long-term liabilities 4.2.

2

Currency Risk: Cover for Spot and Forward Currency Transactions

2.1

A _firm_ must cover a contract providing for the purchase or sale of foreign currency by:

1. (1) holding the currency that must be paid by the _firm_ under the contract; or
2. (2) being subject to an _offsetting transaction_.

3

Currency Matching of Assets and Liabilities

3.1

This Chapter does not apply:

1. (1) to a _pure reinsurer;_ or
2. (2) in respect of _linked assets_.

3.2

1. (1) A _firm_ must hold _admissible assets_ in each currency of an amount equal to at least 80% of the amount of its liabilities in that currency arising under or in connection with ___contracts of insurance,_ except where the amount of those assets does not exceed 7% of the assets in other currencies.
2. (2) For the purposes of (1), references to an asset in a currency are to an asset which is expressed in or capable of being realised (without exchange risk) in that currency, and an asset is capable of being so realised if it is reasonably capable of being realised in that currency without risk that changes in exchange rates would reduce the cover for liabilities in that currency.

3.3

For the purposes of 3.2, the currency of the liability under a _contract of insurance_ is the currency in which the cover under the _contract of insurance_ is expressed or, if the contract does not specify a currency:

1. (1) the currency of the country or territory in which the risk is situated;
2. (2) if the _firm_ on reasonable grounds so decides, the currency in which the _premium_ payable under the contract is expressed;
3. (3) if, taking into account the nature of the risks insured, the _firm_ considers it more appropriate:
 1. (a) the currency (based on past experience) in which it expects the claims to be paid; or
 2. (b) if there is no past experience, the currency of the country or territory in which the _firm_ or relevant branch is established:
 1. (i) for contracts covering risks falling within _general insurance business classes_ 4, 5, 6, 7, 11, 12 and 13 (producer's liability only); and
 2. (ii) for contracts covering risks falling within any other _general insurance business class_ where, in accordance with

the nature of the risks, the _firm's_ liabilities are liabilities to be provided in a currency other than that which would result from the application of (1) or (2);

4. (4) (where a claim has been notified to the _firm_ and the _firm's_ liability in respect of that claim is payable in a currency other than that which would result from the application of (1), (2) or (3)) the currency in which the claim is to be paid; or

5. (5) (where a claim is assessed in a currency known to the _firm_ in advance and is a currency other than that which would result from the application of (1), (2), (3) or (4)) the currency in which the claim is to be assessed.

4

Covering Linked Long-Term Liabilities

4.1

This Chapter does not apply to a _pure reinsurer_.

4.2

A _firm_ must cover its _technical provisions_ in respect of its _linked long-term liabilities_ as closely as possible with:

1. (1) where the _linked benefits_ are linked to the value of _units_, those _units_;
2. (2) where the _linked benefits_ are linked to the value of assets contained in an internal fund of the _firm_:
 1. (a) in a case where the internal fund is divided into notional units, the assets represented by those notional units; or
 2. (b) in a case where notional units are not established, those assets; and
3. (3) where the _linked benefits_ are linked to a _share_ index or other reference value not mentioned in (1) or (2), assets of appropriate security and marketability which correspond as closely as possible to the assets on which the reference value is based.

5

Pure Reinsurers

5.1

A _pure reinsurer_ must invest its assets in accordance with the following requirements:

1. (1) the assets must take account of the type of business carried out by the _firm_, in particular the nature, amount and duration of expected claims payments, in such a way as to secure the sufficiency, liquidity, security, quality, profitability and matching of its investments;
2. (2) the _firm_ must ensure that the assets are diversified and adequately spread and allow the _firm_ to respond adequately to changing economic circumstances, in particular developments in the financial markets and real estate markets or major catastrophic events; the _firm_ must assess the impact of irregular market circumstances on its assets and must diversify the assets in such a way as to reduce such impact;
3. (3) investment in assets which are not admitted to trading on a _regulated market_ must be kept to prudent levels;
4. (4) investment in _derivatives_ and _quasi-derivatives_ must contribute to a reduction of _investment risks_ or facilitate efficient portfolio management and such investments must be valued on a prudent basis, taking into account the underlying assets, and included in the valuation of the _firm's_ assets;
5. (5) the _firm_ must avoid excessive risk exposure to a single _counterparty_ and to other _derivative_ or _quasi-derivative_ operations;
6. (6) the assets must be properly diversified in such a way as to avoid:
 1. (a) excessive reliance on any one particular asset, _issuer_ or _group_ of _undertakings_; and

2. (b) accumulations of risk in the portfolio as a whole;
7. (7) investments in assets issued by the same issuer or by issuers belonging to the same group must not expose the firm to excessive risk concentration; and
8. (8) (6) and (7) do not apply to investment in government bonds.

6

Derivatives and Quasi-Derivatives

6.1

This Chapter does not apply to a pure reinsurer.

6.2

For the purposes of Insurance Company ? Capital Resources 13, a derivative or quasi-derivative is approved if:

1. (1) it is held for the purpose of efficient portfolio management or reduction of investment risk ;
2. (2) it is covered; and
3. (3) it is effected or issued:
 1. (a) on or under the rules of a regulated market ; or
 2. (b) off-market with an approved counterparty and, except for a forward transaction, on approved terms and is capable of valuation.

6.3

1. (1) For the purposes of 6.2, a derivative or quasi-derivative is held for the purpose of reducing investment risk if the derivative or quasi-derivative (either alone or together with other fully covered transactions) reduces any aspect of investment risk without significantly increasing any other aspect of that risk.
2. (2) For the purposes (1), an increase in risk from a derivative or quasi-derivative is significant unless:
 1. (a) relative to any reduction in investment risk it is both small and reasonable; or
 2. (b) the risk is remote.

6.4

For the purposes of 6.2(3)(b)(b)), a derivative or quasi-derivative is on approved terms only if the firm reasonably believes that it could, in all reasonably foreseeable circumstances and under normal market conditions, readily enter into a further transaction with the counterparty or a third party to close out the derivative or quasi-derivative at a price not less than the value attributed to it by the firm, taking into account any valuation adjustments or reserves established by the firm under Insurance Company ? Overall Resources and Valuation 7.

6.5

For the purposes of 6.2(3)(b)(b)), a derivative or quasi-derivative is capable of valuation only if the firm:

1. (1) is able to value it with reasonable accuracy on a reliable basis in compliance with Insurance Company - Overall Resources and Valuation 3.1; and
2. (2) reasonably believes that it will be able to do so throughout the life of the transaction.

6.6

For the purposes of 6.2(1)), a derivative or quasi-derivative is held for the purpose of efficient portfolio management if the firm reasonably believes the derivative or quasi-derivative (either alone or together with any other

covered transactions) enables the _firm_ to achieve its investment objectives by one of the following:

1. (1) generating additional capital or income in one of the ways described in 6.7; or
2. (2) reducing tax or investment cost in relation to _admissible assets_ or _linked assets_ ; or
3. (3) acquiring or disposing of rights in relation to _admissible assets_ or _linked assets_ , or their equivalent, more efficiently or effectively.

6.7

The generation of additional capital or income falls within 6.6(1)" where it arises from:

1. (1) taking advantage of pricing imperfections in relation to the acquisition and disposal (or disposal and acquisition) of rights in relation to assets the same as, or equivalent to, _admissible assets_ or _linked assets_ ; or
2. (2) receiving a premium for selling a covered call _option_ or its equivalent, the underlying of which is an _admissible asset_ or _linked assets_ , even if that additional capital or income is obtained at the expense of surrendering the chance of greater capital or income.

7

Cover

7.1

This Chapter does not apply to a _pure reinsurer_.

7.2

1. (1) A _firm_ must cover an obligation to transfer assets or pay monetary amounts that arise from:
 1. (a) a _derivative_ or _quasi-derivative_ ; or
 2. (b) a contract (other than a _contract of insurance_) for the purchase, sale or exchange of assets.
2. (2) Cover used for one transaction must not be used for cover in respect of another transaction or any other agreement to acquire, or dispose of, assets or to pay or repay _money._

7.3

For the purposes of 7.2, an obligation to transfer assets or pay monetary amounts must be covered:

1. (1) by assets, a liability or a provision; or
2. (2) by an _offsetting transaction_.

7.4

For the purposes of 7.2, an obligation to transfer assets (other than _money_) or to pay monetary amounts based on the value of, or income from, assets is covered if the _firm_ holds:

1. (1) those assets; or
2. (2) in the case of an index or basket of assets, a reasonable approximation to those assets.

7.5

For the purposes of 7.2, an obligation to pay a monetary amount (whether or not falling in 7.4) is covered if:

1. (1) the _firm_ holds _admissible assets_ or _linked assets_ , that are sufficient in value so that the _firm_ reasonably believes that following reasonably foreseeable adverse variations (relying solely on cashflows from, or from realising,

those assets) it could pay the monetary amount in the right currency when it falls due; or

2. (2) the obligation to pay the monetary amount is offset by a liability. An obligation is offset by a liability where an increase in the amount of that obligation would be offset by a decrease in the amount of that liability; or
3. (3) a provision at least equal to the value of the assets in (1) is, in accordance with 7.6, implicitly or explicitly set up.

7.6

For the purposes of 7.5(3)", a provision is:

1. (1) implicitly set up to the extent that the obligation to pay the monetary amount is recognised under Insurance Company ? Overall Resources and Valuation 3 to 7 either by offset against an asset or as a separate liability; and
2. (2) explicitly set up if it is in addition to an implicit provision.

7.7

A firm must implicitly or explicitly set up a provision equal to the value of the assets or offsetting transactions held to cover a non-approved derivative or quasi-derivative transaction.

7.8

For the purposes of 7.3(2)", an offsetting transaction offsets an obligation to transfer assets away from the firm only if it provides for the transfer to the firm of those assets, or their value, at the time, or before, the obligation falls due.

7.9

For the purposes of 7.3(2)", an offsetting transaction offsets an obligation to pay a monetary amount only if it provides for that monetary amount to be paid to the firm at or before the earliest date on which the obligation might fall due.

7.10

For the purposes of this Chapter, assets that have been lent by the firm are not available for cover, unless:

1. (1) they are non-monetary assets that have been lent under a transaction that fulfils the conditions in 8.2; and
2. (2) the firm reasonably believes the assets to be obtainable (by return or re-acquisition) in time to meet the obligation for which cover is required.

7.11

For the purposes of this Chapter, assets that have been borrowed by the firm are not available for cover except as allowed by 7.12.

7.12

For the purposes of this Chapter, borrowed money may be used as cover only where:

1. (1) the money has been advanced or an approved credit institution has committed itself to advance the money; and
2. (2) the borrowing is or would be covered.

8

Stock Lending

8.1

This Chapter does not apply to a _pure reinsurer_.

8.2

1. (1) For the purposes of Insurance Company ? Capital Resources 13, a _stock lending_ transaction (including a _repo_ transaction) is approved if:

1. (a) the _firm_ is the lender;
2. (b) the assets lent by the _firm_ are _admissible assets_ ;
3. (c) the _counterparty_ is an _authorised person_ , an _approved counterparty_ , a _person_ registered as a broker-dealer with the Securities and Exchange Commission of the United States of America or a bank, or a branch of a bank, supervised, and authorised to deal in investments as principal, with respect to _OTC derivatives_ by at least one of the following federal banking supervisory authorities of the United States of America:

1. (i) the Office of the Comptroller of the Currency;
 2. (ii) the Federal Deposit Insurance Corporation; and
 3. (iii) the Board of Governors of the Federal Reserve System; and
 4. (d) adequate and sufficiently immediate _collateral_ is obtained to secure the obligation of the _counterparty_.
2. (2) 8.2(1)(d) does not apply to a _stock lending_ transaction made through Euroclear Bank SA/NV's Securities Lending and Borrowing Programme.

8.3

For the purposes of 8.2(1)(d)\(d\)", _collateral_ is adequate only if it:

1. (1) is transferred to the _firm_ or its agent or, in the case of a letter of credit, meets the conditions described in 8.4;
2. (2) is:
 1. (a) at the time of the transfer and on a continuing basis; or
 2. (b) (in the case of a letter of credit) at the time of issue and on a continuing basis;
3. at least equal in value to the value of the _securities_ transferred, or consideration provided, by the _firm;_ and
3. (3) is of adequate quality.

8.4

The conditions referred to in 8.3(1)") are that the letter of credit is:

1. (1) direct, explicit, unconditional and irrevocable; and
2. (2) issued by an _undertaking_ which is:
 1. (a) not an _affiliated company_ of the _counterparty_ ; and
 2. (b) either an _approved credit institution_ or a bank, or a branch of a bank, whether chartered by the federal government of the United States of America or a US state, that is supervised and examined by at least one of the following US federal banking supervisory authorities:
 1. (i) the Office of the Comptroller of the Currency;
 2. (ii) the Federal Deposit Insurance Corporation; and
 3. (iii) the Board of Governors of the Federal Reserve System.

8.5

For the purposes of 8.3(2)", where the validity of the _collateral_ or the _firm's_ interest in the _collateral_ is about to expire or has expired, _collateral_ will only be adequate on a continuing basis if sufficient _collateral_ will again be

transferred or issued at the latest by the close of business on the day of expiry.

8.6

For the purposes of 8.2(1)(c)\(c\)", _collateral_ is sufficiently immediate only if:

1. (1) it is transferred or, in the case of a letter of credit, issued before, or at the same time as, the transfer of the _securities_ by the _firm;_ or
2. (2) it will be transferred or, in the case of a letter of credit, issued, at latest, by the close of business on the day of the transfer.